

USDA Foreign Agricultural Service

GAIN Report

Global Agricultural Information Network

THIS REPORT CONTAINS ASSESSMENTS OF COMMODITY AND TRADE ISSUES MADE BY
USDA STAFF AND NOT NECESSARILY STATEMENTS OF OFFICIAL U.S. GOVERNMENT
POLICY

Required Report - public distribution

Date: 2/24/2011

GAIN Report Number:

Peru

Oilseeds and Products Annual

Annual

Approved By:

Emiko Purdy

Prepared By:

Gaspar E. Nolte

Report Highlights:

Peru's increasing demands for soybean meals and oil are largely attributed to country's strong economic performance. Soybean meal and oil imports are forecast at 1MMT and 380,000 MT, respectively for MY2011. The Peruvian 480 million bird-per-year poultry sector is the main consumer for imported soybean meal.

Executive Summary:

Soybean meal imports into Peru are forecast at 1 MMT in MY 2011, a slight increase of 15,000 MT compared to the previous year. Poultry meat continues to be one the cheapest sources of protein in the Peruvian diet and the main users of soybean meal, total poultry meat consumption was 860,000 MT in CY 2010. Soybean meal imports in CY 2010 were 985,273 MT of which 11 percent were imported from the United States. The recently approved Consumer Code includes mandatory labeling for GM products, regulation to this Code is currently being drafted.

Fishmeal production for CY 2011 is estimated at 1.3 MMT, an increase of 8 percent compared to the previous year. Total fish catch for reduction in CY 2010 was 4.5 MMT. Local fishmeal consumption is insignificant and does not have a large impact on the export market. Consumption for CY 2011 is forecast at about 10,000 MT. Fishmeal exports totaled \$1.6 billion in CY 2010 at an average export price of \$1,483 per MT

Commodities:

Meal, Soybean

Author Defined:

Outlook

Meal, Soybean Peru	2009/2010		2010/2011		2011/2012	
	Market Year Begin: Jan 2009		Market Year Begin: Jan 2010		Market Year Begin: Jan 2011	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	2	2	2	2		2
Extr. Rate, 999.9999	0	1	0	1		1
Beginning Stocks	50	50	10	11		8
Production	1	1	1	1		1
MY Imports	1,000	821	1,050	985		1,000
MY Imp. from U.S.	50	105	50	105		150
MY Imp. from EU	0	0	0	0		0
Total Supply	1,051	872	1,061	997		1,009
MY Exports	0	0	0	0		0
MY Exp. to EU	0	0	0	0		0
Industrial Dom. Cons.	0	0	0	0		0
Food Use Dom. Cons.	0	0	0	0		0
Feed Waste Dom. Cons.	1,041	861	1,050	989		998
Total Dom. Cons.	1,041	861	1,050	989		998
Ending Stocks	10	11	11	8		11
Total Distribution	1,051	872	1,061	997		1,009
1000 MT, PERCENT						

Import Trade Matrix
(Metric Tons)

Country	Peru
Commodity	Meal, Soy
Time Period	CY 2010
Imports from:	
U.S.	104,921
Others	
Paraguay	472,896
Bolivia	265,342
Argentina	141,900
Total for Others	880,138
Others not Listed	214
Grand Total	985,273

Units: Metric Tons

Soybean meal imports into Peru are forecast at 1 MMT in MY 2011, a slight increase of 15,000 MT compared to the previous year. The poultry industry will continue driving soybean imports and consumption in Peru.

With an estimated per capita consumption of 35 kilograms in CY 2010, poultry meat is a staple product in the Peruvian diet. Peru's 480 million chicken-per-year poultry market is the major user of soybean meal (meal constitutes about 12 percent of broiler rations). Poultry meat continues to be one the cheapest sources of protein in the Peruvian diet, total consumption was 860,000 MT in CY 2010. There are about 20 formal poultry operations in Peru, which control around a thousand farms. Total market size for CY 2010 was estimated at \$1.4 billion and it is expected to increase three percent in CY 2011.

Total soybean meal imports in CY 2010 were 985,273 MT. Paraguay continued to be the leading soybean meal exporter to Peru in CY 2010 with 48 percent of the market share. U.S. exports captured 11 percent of the Peruvian market. U.S. soybean exports to Peru have increased in recent years due to more competitive prices and the U.S. – Peru Trade Agreement, which grants trade preferences to U.S. corn which encourages importers to ship U.S. soybean meal to complete cargos.

Soybean meal imports from all origins into Peru are duty free.

Biotechnology

Peru maintains a mixed attitude towards biotechnology. The Government of Peru (GOP) has drafted a law to promote and regulate the use of biotechnology but it has sat idle due to constant pressure from anti biotechnology organizations led by the Peruvian Ministry of Environment. These organizations have begun an aggressive communications campaign misinforming the general public about the potential effects of biotechnology.

The recently approved Consumer Code includes mandatory labeling for genetically modified (GM) products. Currently, the regulation for this Code is being drafted. If the regulation is finally approved, the GOP will have a major challenge enforcing it since there are over 30,000 items containing GM products on the shelves of Peruvian markets.

The Ministry of Agriculture has drafted a biosafety regulation but has not published yet. This new regulation establishes a legal framework on production, research and trade of GM products. The biosafety regulation has been developed and

cleared by the Ministries of Agriculture and Environment. However, the President has not approved it as of this writing.

Commodities:

Oil, Soybean

Author Defined:

Outlook

Import Trade Matrix (Metric Tons)	
Country	Peru
Commodity	Oil, Soy
Time Period	CY 2010
Imports from:	
U.S.	81,704
Others	
Argentina	253,420
Bolivia	9,658
Brazil	7,239
Total for Others	270,317
Others not Listed	513
Grand Total	352,534

Units: Metric Tons

Soybean oil imports are forecast at 380,000 MT in CY 2011, an 8 percent increase compared to the previous year. Imports in CY 2010 were 352,534 MT, of which 72 percent was imported from Argentina. The U.S. soybean oil exports captured 23 percent of the Peruvian market share. Soybean oil consumption in CY 2010 was 355,000 MT and is expected to continue growing as Peru's economy expands. Peru's Gross Domestic Product (GDP) is expected to grow between six and eight percent per year for the next three years.

Imported crude soybean oil is refined and bottled in Peru for retail sale. Peru does not produce any soybeans, and the limited crushing capacity is used to produce full fat soybean meal for feed. Imports of refined soybean oil in CY 2010 were 8,877 MT, mostly from Bolivia and Brazil.

Commodities:

Meal, Fish

Production:

Meal, Fish Peru	2009/2010		2010/2011		2011/2012	
	Market Year Begin: Jan 2010		Market Year Begin: Jan 2011		Market Year Begin: Jan 2012	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Catch For Reduction	5,100	4,300	6,750	4,500		5,000
Extr. Rate, 999.9999	0	0	0	0		0
Beginning Stocks	7	7	17	12		20
Production	1,210	1,103	1,550	1,200		1,300
MY Imports	0	0	0	0		0
MY Imp. from U.S.	0	0	0	0		0
MY Imp. from EU	0	0	0	0		0
Total Supply	1,217	1,110	1,567	1,212		1,320
MY Exports	1,185	1,090	1,545	1,182		1,295
MY Exp. to EU	239	228	380	250		300
Industrial Dom. Cons.	0	0	0	0		0
Food Use Dom. Cons.	0	0	0	0		0
Feed Waste Dom. Cons.	15	8	15	10		10
Total Dom. Cons.	15	8	15	10		10
Ending Stocks	17	12	7	20		15
Total Distribution	1,217	1,110	1,567	1,212		1,320

1000 MT, PERCENT

Export Trade Matrix (Metric Tons)	
Country	Peru
Commodity	Meal, Fish
Time Period	CY 2010
Exports to:	
U.S.	3,530
Others	
China	553,859
Germany	133,326
Japan	113,255
Chile	40,535
Total for Others	840,975
Others not Listed	245,963
Grand Total	1,090,468

Units: Metric Tons

Fishmeal production for CY 2011 is estimated at 1.3 MMT, an increase of 8 percent compared to the previous year. Total fish catch for reduction in CY 2010 was 4.5 MMT. Peru's fishing industry is tightly controlled by the government; the fishing quota a few years ago was around 8.5 MMT per year but has been reduced to around 5 MMT in an effort to reduce

over-fishing and enhance the sustainability of Peruvian fisheries. Moreover, the GOP has established individual fishing quotas per boat and individual processing licensing per plant. Currently, permits can be worth more than a boat itself.

Peru produces two types of fishmeal: Fair Average Quality (FAQ), with a protein content between 62 and 65 percent, which is dried by direct heat, and Prime, which is indirectly dried by steam and has a protein content of 66-67 percent. International fishmeal prices in CY 2010 remained high, price of Prime meal averaged \$1400 per MT compared to \$700 a few years ago.

Currently, total industry debt is estimated at \$800 million with annual financing costs of about \$180 million. This debt was generated in 1997/1998 as a result of El Niño weather phenomenon that drove the fish away from the Peruvian coast and halted all industrial fishing activity for 18 months.

There are 90 fishmeal plants currently working in Peru. The Peruvian fishing fleet is comprised of 984 boats: 684 steel boats with storage capacity over 500 cubic meters and 300 wooden boats with storage capacity of 110 cubic meters. Total processing capacity is 7,500 MT per hour; about four times more than they are allowed to catch.

Consumption:

Local fishmeal consumption is insignificant and does not have a large impact on the export market. Consumption for CY 2011 is forecast at about 10,000 MT. Local consumption is expected to remain low and even decrease due to high international prices and increased demand from foreign aquaculture industries. Fish is used as a protein source in animal feed; especially shrimp farms located northern Peru.

Trade:

Peru's fishmeal exports for CY 2011 are forecast at 1.295 MMT. China continued to be the leading export market for Peruvian fishmeal with 553,859 MT purchased in CY 2010. Other important markets are Germany (133,326 MT) and Japan (113,255 MT).

Fishmeal exports totaled \$1.6 billion in CY 2010 at an average export price of \$1,483 per MT. Fishmeal is Peru's fourth largest export, after gold, copper, and oil.

Policy:

The GOP continues to strengthen enforcement of environmental regulations, particularly to preserve the biomass. The Vice Ministry of Fisheries recently passed a decree to establish individual fishing quotas by boat. The individual quota is a result of the boat's historic catch and its storage capacity.

The GOP has also stepped up efforts to preserve fisheries resources and reduce the environmental impacts of local processing centers. As a result of strict enforcement most plants now have "tail-water" discharge recovery and airborne particle recovery systems, both of which have led to increased processing efficiency. Plants also must pump residual water at least 13 kilometers out and 50 meters deep. Larger producers continue to invest in canning or freezing lines, to convert more of the catch to higher value products for human consumption, a trend that is expected to continue.

The GOP also enforces several measures to assure the sustainability of Peruvian fisheries. These measures include the enforcement of two fishing seasons during each year as well as fishing bans implemented during the anchovy spawning seasons. These bans may vary somewhat from year to year but are usually enforced from January to mid March and from August to mid October. Other measures include:

- Fishing quotas.
- Limiting fish size to a minimum of 12 centimeters.
- Ensuring that the fishing net is big enough to allow small fish through.
- Establishment of a protected area, five miles from shore, in which no industrial fishing is allowed.
- Prohibition on the use of jack mackerel or horse mackerel for fishmeal. Only anchovy is allowed for industrial processing with a maximum of 11 percent of incidental fishing (species other than anchovy).
- Establishing fishing and processing quotas by boat and plant. Now fishing boats are only valuable if they have fishing permits.

The GOP enforces these measures through satellite screening and inspection at 150 unloading points along the coast during the fishing seasons.

Author Defined:

Fish Oil Outlook

Export Trade Matrix (Metric Tons)	
Country	Peru
Commodity	Oil, Fish
Time Period	CY 2010
Exports to:	
U.S.	10,612
Others	
Chile	62,110
Belgium	44,807
Denmark	39,920
China	20,673
Total for Others	167,510
Others not Listed	72,535
Grand Total	250,657

Units: Metric Tons

Fish oil production in CY 2010 was 255,000 MT. Post forecasts production at 300,000 MT in CY 2011. Oil extraction is directly related to water temperatures and can vary significantly from year to year. Under normal weather conditions the oil extraction rate should be around 8 to 10 percent, but can drop to as low as 1 percent in unusually warm waters.

Exports for CY 2011 are forecast at 275,000 MT. In 2010, Chile, Belgium and Denmark were the major importers of Peru's fish oil.

Consumption in CY 2010 is forecast at 20,000 MT. Domestic consumption will remain low due to increasing fish oil demand in other countries, especially as a feed ingredient for a growing aquaculture industry.

Commodities:

Select

Select

Author Defined: